Cost of Sales

- Retailer/Merchandisers
  - CoS = Opening stock-in-trade + Purchases +Direct expenses – Closing SIT
- Manufacturer
  - CoS = Opening finished goods + CoGM – Closing FnG
  - Cost of Goods Manufactured = Direct material cost + Direct labour cost + Manufacturing overhead cost + Opening work-in-progress – Closing WiP
- Service firm
  - Cost of Service = Direct material cost + Direct labour cost + Other direct cost for providing service + Service overhead + Opening WiP – Closing WiP

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Depreciation

- Allocation of fixed asset cost over its useful life
- Cost, Salvage Value (SV) and Useful life
- Carrying Amount = Cost – Accumulated Depr
- Straight Line Method (SLM)
  - Depr p.a. = (Cost – SV)/n
- Written Down Value Method (WDV)
  - Depr rate = 1-$\sqrt[n]{SV/Cost}$
  - Depr p.a. = Opening Carrying Amount * WDV rate
- Production Units Method (PU)
  - Depr per unit = (Cost – SV)/Total Estimated output
  - Depr p.a. = Depr per unit * Actual output
- Depreciation method should match expected benefits pattern
- Disclosures for change in Accounting policy/estimates
  - Nature of change and reason for change
  - Effect on profits in current period and/or future periods

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